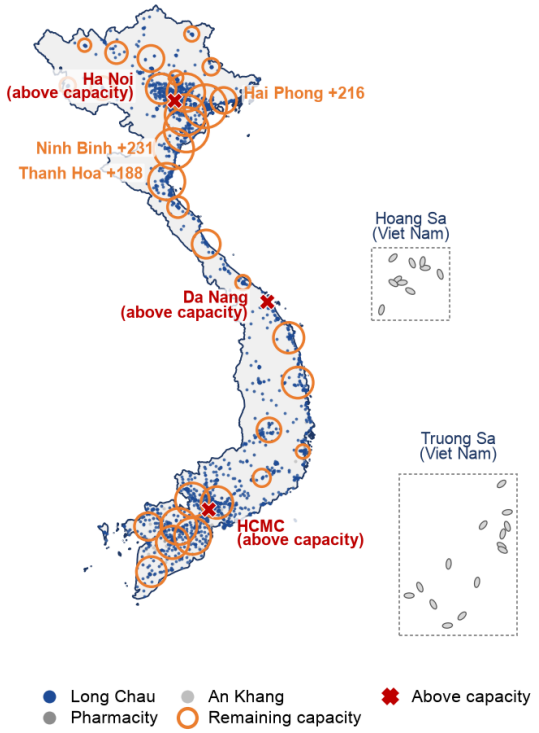
FRT: The Puzzle Solver

FPT Digital Retail JSC (HOSE: FRT) | Equity research, 17/10/2026

HOLD	155,300	+10.46%
Recommendation	Target price (VND)	vs close of 140,600

Long Chau is still Vietnam's strongest pharmacy chain, but its easiest store sites are taken. FRT's revenue CAGR slows from 22.7% (2021-25) to 8.9% (2026-36F), leaving about 10% upside: a HOLD.

Where the next stores can go



Chain pharmacies and remaining capacity by province, Sep-2026. Source: Team store lists, Team estimates

Key thesis: store expansion nears its limit

6,756	4,282	3,054
chain stores the 34 provinces can support	chain stores today, 2,667 of them Long Chau	slots left in provinces that are not yet full*

1. **Core cities are full.** Across the three chains, stores sit 486 m apart in HCMC against a 630 m saturation distance, and 517 m against 569 m in Hanoi. New stores there mostly move existing customers.
2. **The room left is provincial.** Long Chau adds about 2,000 stores to reach 4,674 by 2035F, in markets where people spend less on medicines and stores take longer to ramp up.
3. **Sales per store must carry growth.** Modelled at 3% a year in 2027-28F, then 5.7%. Long Chau's revenue CAGR falls from 71.8% in 2021-25 to 11.0% in 2026-36F.
4. **The moat holds, and it funds the roll-out.** About 4,280 prescription SKUs (1.9x An Khang, 2.4x Pharmacity), cost of goods down from 79.9% to 76.2% of revenue, 2025 operating cash flow 3.6x capex, ROIC 29% vs WACC of about 9%.
5. **FPT Shop adds little value.** Revenue grows 1.0% a year on a stable store base, and ROIC of 3% sits below a WACC of about 17%.

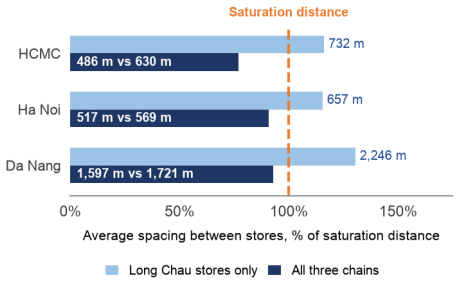
Valuation (VND per share)

Method	Value	Weight
FCFF	173,035	40%
FCFE	159,234	40%
Relative valuation	111,812	20%
Target price	**155,300**	**+10.46%**

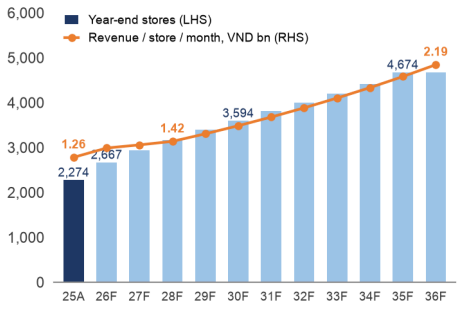
Scenarios (VND per share)

Case (probability)	Value	vs close
Bull (25%)	201,677	+43%
Base (50%)	155,270	+10%
Bear (25%)	111,904	-20%
Probability-weighted	**156,030**	**+11.0%**

Store spacing vs saturation



Long Chau stores and sales per store



Monte Carlo: 1,000,000 runs



154,963	130,743-183,533	82.4%
median	90% range, VND	above close

Varies rates and margins (+/-0.5%), store openings (0.5x-1.6x) and peer multiples.

Risks: value per share under each (VND)

Risk	Value	vs base
Rivals compete on price and sites	119,580	-23.0%
Wages and rents outrun drug prices	128,171	-17.5%
Shortage of sites and pharmacists	133,064	-14.3%
Cannibalisation, slower ramp-up	148,165	-4.6%

What the judges said

Spatial saturation model: **"a differentiated insight"**. Industry work: **"Strong original research"**. Monte Carlo: **"a very good addition"**.

What I would do differently

Replace the FCFE weight and EV/Sales with FCFF plus EV/EBITDA, cover regulatory and FX risks, and tie ESG to financial materiality.

Own spatial model

Store coordinates and a break-even catchment for each of 34 provinces.

Regional forecast

11-year revenue build across six regions, with openings capped by capacity.

Dynamic WACC

Recalculated each year as leverage changes, using own-peer betas and a synthetic cost of debt.

Primary research

Store lists for three chains, prescription SKU counts and a price check of 39 products.

*3,054 does not net off the 580 excess stores in HCMC, Hanoi and Da Nang. Prices as of 14/10/2026. Student work for an educational competition, not investment advice. Source: FRT, Team store lists, Team estimates; charts from the report.